

2026 H2 CIO Houseview — Quality Carry, Selective Risk

As of 2026-07-01 · SUPERSEDED · Quality carry with selective risk-taking

Fictional internal demonstration report. Market views may change and do not constitute a recommendation.

Executive summary

Growth remains positive but uneven. Prefer resilient income, quality fixed income and diversified balanced exposure while retaining liquidity for volatility.

Macro regime [hv-h2-macro]

View

Moderating growth and gradually easing inflation support carry, but policy and geopolitical uncertainty keep dispersion elevated.

Positioning

Avoid broad risk-on positioning; emphasize quality and diversification.

Key risks

- Inflation reacceleration
- Policy error
- Geopolitical escalation

Fixed income [hv-h2-fixed-income]

View

High-quality short and intermediate duration offers attractive carry relative to recent history.

Positioning

Overweight quality income; add duration selectively rather than chasing yield.

Key risks

- Rate volatility
- Credit spread widening
- Reinvestment risk

Equities [hv-h2-equities]

View

Earnings remain supportive, but valuations and concentration call for selectivity.

Positioning

Neutral overall; prefer quality balance sheets and diversified exposure.

Key risks

- Valuation compression
- Earnings disappointment
- Concentration

Cash and liquidity [hv-h2-cash]

View

Cash remains useful for near-term commitments but carries reinvestment and opportunity-cost risk.

Positioning

Match cash reserves to known commitments; avoid treating all liquidity as investable.

Key risks

- Reinvestment risk
- Inflation erosion
- Opportunity cost

Watch items

- Inflation trend
- Central-bank guidance
- Credit spreads
- Earnings revisions

Important information

Fictional CIO research authored for the Frontier RM internal demonstration. Not a forecast or investment advice.